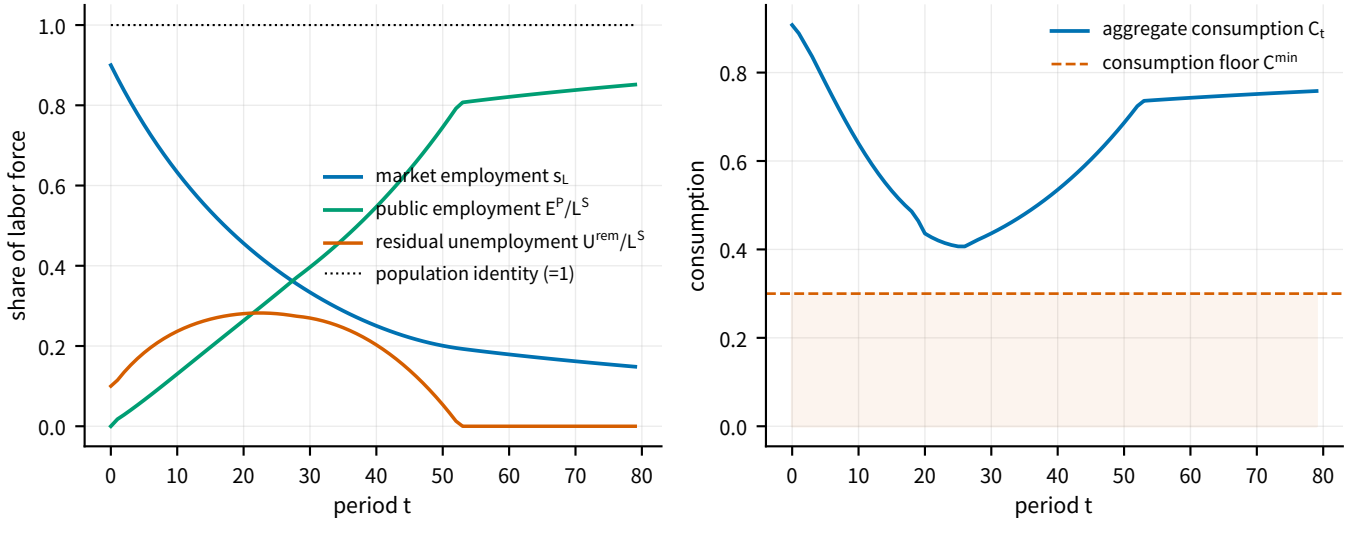

(a) Employment reallocation under full absorption
share of labor force
period t
market employment s_L
public employment E^P/L^S
residual unemployment U^{rem}/L^S
population identity (=1)
(b) Consumption stays above the floor
consumption
period t
aggregate consumption C_t
consumption floor C^{min}